

FUNCTIONAL FACTORS

1. The firm must be one of the lowest-cost producers of its products or services relative to its competition, and must promise to remain so.
 - a. A comparatively low breakeven point will enable this firm to survive depressed market conditions and to strengthen its market and pricing position when competitors are driven out of the market.
 - b. A higher than average profit margin enables the firm to generate more funds internally to sustain growth without as much dilution caused by equity sales or strain caused by overdependence on fixed-income financing.
2. A firm must have a strong enough customer orientation to recognize changes in customer needs and interests and then to react promptly to those changes in an appropriate manner. This capability should lead to generating a flow of new products that more than offset lines maturing or becoming obsolete.
3. Effective marketing requires not only understanding of what customers want, but also explaining to them (through advertising, selling or other means) in terms they can understand. Close control and constant monitoring of the cost/effectiveness of market efforts are required.
4. Even non-technical firms today require a strong and well-directed research capability to (a) produce new and better products, and (b) perform services in a more effective or efficient way.
5. There are wide differences in the effectiveness of research. Two important elements of more productive research are (a) market/profit consciousness, and (b) the ability to pool necessary talent into an effective working team.
6. A firm with a strong financial team has several important advantages: